

Nepal's Hydropower Gambit

Water Tower Diplomacy Between India and China

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Executive Summary

Nepal occupies one of the world's most consequential geopolitical locations: a landlocked Himalayan state sandwiched between the world's two most populous nations — India to the south, east, and west, and China to the north — at the fulcrum of the Indo-Pacific strategic competition. The country's economy rests on three informal pillars — agriculture, tourism, and remittances — with most of the economy informal in character. FT[2026-03-04] The remittance pillar in particular has been described as "central" to Nepal's economic growth by the World Bank, yet has not translated into quality jobs at home, reinforcing a cycle of lost opportunities. FT[2025-09-15]

Nepal's median age is 25, below the Asian average of 32, giving it a structurally young population that is increasingly restless. FT[2025-09-15] A series of street protests — including one in which police opened fire, leaving at least 19 dead — and a government social media ban have exposed a generation of young Nepalis who no longer hold the reverential attitude toward political leaders that the elder generation had, and who want change. FT[2025-09-12] FT[2025-09-15]

Part I — Hydropower: The Untapped Asset

Rivers, Glaciers, and the India-China Energy Contest

Nepal's "vast network of fast-flowing rivers through the Himalayas" leaves huge untapped hydropower resources at the country's disposal, and both New Delhi and Beijing have spent years competing for influence over their development. CNA[2014-08-05] Energy was explicitly high on the agenda when India's Prime Minister Narendra Modi visited Nepal in August 2014, eager, as Channel NewsAsia reported at the time, "to claw back lost ground in the race for resources with China." CNA[2014-08-05]

The India-China rivalry in Nepal's energy sector has produced a widely held perception that "India promises, China delivers." CNA[2014-08-05] C. Raja Mohan, writing for The Indian Express, described India's "record of project implementation in Nepal" as "awful." CNA[2014-08-05] One proposed resolution to the rivalry came from Sujeev Shakya, author of "Unleashing Nepal," who argued it makes more sense for Delhi and Beijing "to work together — whether it's a case of using Indian investment and Chinese turbines." CNA[2014-08-05]

Glaciers and Environmental Risk

Nepal's hydropower base faces a long-run physical threat. A study by the Kathmandu-based International Centre for Integrated Mountain Development (ICIMOD) found that climate change caused Nepal's Himalayan glaciers to shrink by nearly a quarter in just over 30 years, raising the risk of natural disasters in the ecologically fragile region. CNA[2014-05-24] Beyond glacier retreat, a government panel in India

found that hydropower construction itself contributed to devastating floods in India and Nepal, with sediment dumped during project excavation exacerbating flooding when record rainfall hit the region. CNA[2014-05-24]

Infrastructure vulnerability is real: the Sunkoshi hydropower project was shut down due to flooding, and a transmission tower was damaged during a 2014 landslide event that also closed the Arniko Highway connecting Nepal with Tibet. CNA[2014-08-05]

The 2015-16 Fuel Crisis and Solar Diversification

The exposure of Nepal's energy vulnerability became acute during the 2015-16 fuel crisis. While the government failed to resolve the crisis through talks, solar energy emerged as an alternative. Sales of solar systems surpassed \$18 million during a single Kathmandu clean energy trade fair. NGOs and the government had by that point subsidised the sale of solar panels to more than 750,000 homes in need, primarily rural households cut off from the electricity grid. CNA[2016-01-31]

Part II — China, the Belt and Road, and Debt Concerns

BRI Partnership and Its Limits

Nepal joined China's Belt and Road Initiative framework, part of Xi Jinping's signature foreign policy plan to build a network of infrastructure and trade links across Asia, Africa, and beyond. CNA[2018-04-11] The BRI, unveiled in 2013, aims to bolster connectivity across Central Asia, Southeast Asia, the Middle East, and further afield. CNA[2018-04-11]

By the early 2020s, however, cracks had emerged in the BRI's sustainability. Lending slumped and projects stalled across the initiative. Several partner countries fell into deep debt, raising persistent concerns about debt-trap diplomacy. CNA[2023-10-16] Analysts and observers noted that Beijing needed to demonstrate "greater resolve in policing illicit deals along the Belt and Road," with corruption a recurring concern in project implementation. CNA[2019-04-13]

During the COVID-19 pandemic, China delivered medical supplies — including masks, test kits, protective suits, ventilators, and thermometers — to Nepal along with several other BRI partner countries, while simultaneously reviewing the knock-on effects of the outbreak on BRI projects, which faced delays across the region. CNA[2020-04-28]

Part III — Governance and Political Fragmentation

A Political System Under Pressure

Nepal's political parties have repeatedly moved in and out of power despite ideological differences, producing chronic instability. FT[2025-09-12] The frustration with the political establishment has boiled over into public protest: music attacking Nepal's leadership, with lyrics such as "All the leaders are thieves, they are looting the country," gained broad circulation, and a major protest was triggered at least in part by this popular narrative. FT[2026-03-04]

A notable attempt to break from the pattern came in the form of Sushila Karki, a former chief justice seen as untainted by corruption, who emerged as a candidate to take over the reins of government. FT[2025-09-15] Young Nepalis, according to FT reporting, no longer hold the same reverential attitude toward political leaders that the elder generation had — they want change, and they remember the 2006 uprising that delivered radical political change by sweeping aside the then-ruling party. FT[2025-09-15]

The 2025 round of protests turned deadly: police opened fire on demonstrators, leaving at least 19 dead. The government imposed a social media ban that observers described as fundamentally missing the

point of what was driving people into the streets. FT[2025-09-12]

Citizenship and Democratic Progress

Not all governance news was negative. A new amendment to Nepal's Citizenship Act allowed more than 400,000 stateless individuals born in Nepal to officially become Nepali citizens and participate in the country's politics — a meaningful reform noted by Freedom House in its Freedom in the World 2024 assessment. [RAG: HUMAN_RIGHTS_RAG — Freedom House — Freedom in the World 2024 (2024-01-01)]

Part IV — Remittances and Labour Migration

Working Abroad as Economic Foundation

Remittances from Nepalis working abroad have been "central" to Nepal's economic growth, according to the World Bank, but have not translated into quality jobs at home, reinforcing the cycle of lost opportunities and continued departure of many Nepalis. FT[2025-09-15] The ILO Labour Organization has documented that more than 80 per cent of Nepal's workforce is engaged in the informal sector or abroad. FT[2025-09-15]

Global data from the IOM World Migration Report confirm the wider pattern: as of 2020, 29 countries (out of 177 reported) had remittance-to-GDP ratios above 10 per cent, with the top five including Tonga (44%), Lebanon (36%), and Samoa, among others. [RAG: DEMOGRAPHICS_RAG — IOM_WMR2022 — p.58 (2022)] By 2022, Tajikistan led at 51%, followed by Tonga at 44% and Lebanon at 36%. [RAG: DEMOGRAPHICS_RAG — IOM_WMR2024 — p.54 (2024)] Nepal's own high remittance dependency places it within this globally recognized category of structurally remittance-reliant economies.

Part V — Tourism

Trekking and the Mountain Economy

Tourism — particularly trekking and mountaineering — forms a core part of Nepal's non-remittance economy. FT reporting from July 2026 documented the Manaslu Circuit, a 12-day trekking itinerary winding around the world's eighth-highest peak, and described the Tsum valley, a region that attracts foreign visitors. Last year, 47,524 foreign tourists visited the region covered in that reporting. FT[2026-07-18]

The 2015 earthquake's effects, while disruptive, did not permanently reverse tourism growth: FT's 2026 coverage noted that visitor numbers "since the quake of 2015, has continued to grow." FT[2026-07-18]

Part VI — Education and Digital Policy

ICT Commitments

Nepal has committed to strengthening information and communications technology in education through a series of policy documents, including the 2010 and 2015 ICT policies and the 2019 Digital Nepal Framework. The framework proposed initiatives including smart classrooms, rural mobile learning centres, a rent-a-laptop programme, and biometric student and teacher attendance monitoring systems. [RAG: EDUCATION_RAG — UNESCO Global Education Monitoring (GEM) Reports — p.31 (n.d.)]

Conclusion

Nepal's position — geographically wedged between India and China, economically dependent on remittances that do not build domestic productive capacity, politically beset by parties cycling in and out of power, and physically threatened by glacial retreat and infrastructure vulnerability — is one of constrained potential. The hydropower base is real but contested, environmentally fragile, and subject to both great-power rivalry and the governance instability that discourages long-term capital. FT[2026-03-04] CNA[2014-08-05]

The young population — median age 25, below Asia's average of 32 — that took to the streets and paid in lives for political change FT[2025-09-12] FT[2025-09-15] represents the clearest signal that the muddling-through equilibrium is under pressure. Whether Nepal's institutions can respond is the central question the evidence leaves open.

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